Choose the answer from the codes given below:
Codes:
(a) I, II, III (b) I, III, II
(c) III, I, II (d) II, I, III

Ans. (b) : The Demographic Transition Model (DTM) is based on historical population trends of two demographic characteristics – birth rate and death rate – to suggest that a country's total population growth rate cycles through stages as that country develops economically.
The correct sequence of demographic transition as typically associated with economic development 1-3-2.

74. The growth rate of which one of the following sectors has very low employment elasticity?
(a) Manufacturing (b) Construction
(c) Financial services (d) Mixed farming

Ans. (a) : The growth rate of low employment elasticity is mentioned as below:

SECTOR	EMPLOYMENT ELASTICITY
Construction	0.60
Financial Services	0.53
Mixed Farming	0.40
Manufacturing	0.25

75. The basic difference between imperative and indicative planning is that:
(a) In the case of the imperative planning the market mechanism is entirely replaced by a command hierarchy, while in the case of indicative planning, it is looked upon as a way to improve the functioning of the market system.
(b) In the case of indicative planning there is no need to nationalize any industry.
(c) In the case of imperative planning all economic activities belong to public sector, while in the other type they belong to the private sector.
(d) It is easier to achieve targets in imperative type of planning.

Ans. (a) : The basic difference between imperative and indicative planning is that in the case of the imperative planning the market mechanism is entirely replaced by a command hierarchy, while in the case of indicative planning, it is looked upon as a way to improve the functioning of the market system.

76. Which of the following are the main causes of slow rate of growth of per capita income In India?
I. High capital output ratio
II. High rate of growth of population
III. High rate of capital formation
IV. High level of fiscal deficits
Select the correct answer from the codes given below:
Codes:
(a) I, II, III and lV (b) II, III and IV
(c) I and IV (d) I and II

Ans. (d) : The main cause of slow rate of growth of per capita income are:
- High Growth Rate of Population
- Excessive Dependence on Agriculture
- Occupational Structure
- Low Level of Technology and its Poor Adoption
- Poor Industrial Development
- Poor Development of infrastructural Facilities
- Poor Rate of Saving and Investment
- High capital output ratio

Thus option (d), only statement I and II is correct.

77. In India the Public Sector is most dominant in :
(a) Steel production
(b) Organised term lending financial institutions
(c) Transport
(d) Commercial banking

Ans. (b) : In India the Public Sector is most dominant in organised term lending financial institutions as they provides loans to public for fixed amount of time. They provides loans mainly to agriculture sector and Service sector. In Steel production more public participation is required.

78. Which one of the following modes of privatisation is the most comprehensive and complete?
(a) Introduction of private capital in public sector.
(b) Contracting out management of public enterprises to the private sector.
(c) Transferring ownership and management to the workers.
(d) Transferring ownership and management to the private sector.

Ans. (d) : Privatisation is complete and comprehensive when ownership and management are transferred completely to private sector. The decision making completely lie in the hand of private sector without much interference of government. Privatisation comes under Capitalism model of economy.

79. When partial convertibility obtains the exchange rate is:
(a) A weighted average
(b) A simple average
(c) Fully floating
(d) Fully administered

Ans. (d) : When partial exchangeability is implemented by a country in its currency for mutual transaction with the currencies of other countries, then the exchange rate of that country is completely administered by the government.
Full convertibility of exchange rate of currency refers to a system under which the currency of a country is freely convertible into major foreign currencies and major foreign currencies are freely convertible into local currency.

80. A zero rate of Inflation obtains necessarily in a year where the annual rate of inflation:
(a) in every week of the year is zero.
(b) is falling in every week of the year.
(c) is both falling and rising in a year.
(d) is constant in every week of the year.

Ans. (a) : A zero rate of Inflation obtains necessarily in a year where the annual rate of inflation in every week of the year is zero. A zero rate of Inflation obtains necessarily in a year where the annual rate of inflation is both falling and rising in a year. Unexpected inflation tends to hurt those whose money received in terms of wages and interest payments does not rise with inflation.

81. Which one of the following pairs is correctly matched?
(a) Rationing : Fiscal control
(b) Cash Reserve Ratio : Selective Credit Control
(c) Licensing : Comprehensive Control
(d) Import Quota : Physical control

Ans. (d) : An import quota is a type of trade restriction that sets a physical limit on the quantity of a good that can be imported into a country in a given period of time Quotas, like other trade restrictions, are typically used to benefit the producers of a good in that economy.
Thus option (d) is correctly matched.

82. Euro dollars are:
(a) A currency issued by European Monetary Union.
(b) Special currency issued by federal government of U.S.A. to be used only in Europe.
(c) U.S. dollars circulating In Europe.
(d) European currencies exchanged for the U.S. dollar in U.S.

Ans. (a) : Eurodollar, a United States dollar that has been deposited outside the United States, especially in Europe. Foreign banks holding Eurodollars are obligated to pay in U.S. dollars when the deposits are withdrawn. Dollars form the largest component of all currencies in which such deposits are held and which are generally known as Eurocurrency.

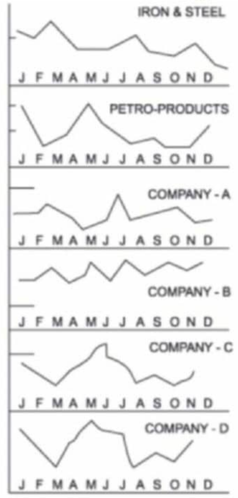
83. Variable reserve rates and Open Market Operations are instruments of:
(a) Fiscal Policy (b) Monetary Policy
(c) Budgetary Policy (d) Trade Policy

Ans. (b) : Variable reserve rates and Open Market Operations are instruments of Monetary Policy. Open Market Operations is when the RBI involves itself directly and buys or sells short-term securities in the open market. This is a direct and effective way to increase or decrease the supply of money in the market. It also has a direct effect on the ongoing rate of interest in the market.

84. Most Favoured Nations (MFN) clause under GATT implies
(a) Most favour to some countries.
(b) Most favour to all countries.
(c) No favour to any country.
(d) No favour to some countries.

Ans. (b) : Most Favoured Nation status is given to an international trade partner to ensure non-discriminatory trade between all partner countries of the WTO. A country which provides MFN status to another country has to provide concessions, privileges, and immunity in trade agreements.

85. Consider the charts given below:



The given charts depict the price variation in a stock market during a year. Movement of industry wise average price is plotted for the sectors of iron and steel and petro products. Price movements of four companies A and B (iron and steel), C and D (petro products) are also plotted. From the curves, a significant feature that can be deducted is:
(a) Company C made large profit around June.
(b) All share prices will increase steadily in the next year.
(c) Company B seems to be performing better than the market average.
(d) Petro products are performing better than iron and steel.

Ans. (c) : From the given charts, the price variation in a stock market during a year is depicted and Company B seems to be performing better than the average market.

86. As on today, which one of the following countries has the largest external debt?
(a) India (b) Brazil
(c) USA (d) Mexico

Ans. (b) : Brazil, a South American country ranks first among the countries taking loans from foreign countries and other international financial institutions. As per World Development Report 1992 released by World Bank. Brazil's external debt was highest and it was 116,773 million dollar.